

regimes stand and the option is with the taxpayer, whichever the person feels is beneficial, the person can opt for. Of course, we have given benefits in the new tax regime because, ultimately, we want the tax regime to be simple. In the old tax regime, there are certain deductions and exemptions, which are open to interpretation, which make calculation difficult. A straight computation of income tax is available in the new tax regime with reduced rates. Taken together, this has become acceptable to the people, and that is reflected in the fact that

million individual taxpayers and out of that 75% have already opted for the new regime. Going forward, I see that the figure touching 95-97%.

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With the changes in import duty, is India being less protectionist?

Sanjay Kumar Agarwal:

In the last Budget in July, the Finance Minister announced that the custom duty rate rationalisation exercise will be conducted at a massive scale and we have gone through all the tariff items and looked into the rate structure. We conducted

and textiles out of this exercise. Now, rates are applied in a graded manner on distinct stages of value addition. But to provide effective protection to industry equivalent agriculture infrastructure and development cess (AIDC) has been imposed on most items but on certain items AIDC has been imposed at a lower rate.

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One change that caused excitement was the cut in motorcycle customs rates. But some people say that India has changed its tariffs to account for US criticism. What would you say?

SKA: In this exercise, the average customs rate, which used to be 11.65% earlier, has come down to 10.66%. So, it's a reduction of almost 10% in the average rate. And now this rate is more akin to the rates in ASEAN countries. As far as motorcycles are concerned, I would say that the rates have been reduced. In this rate rationalisation exercise, some rates have been reduced, earlier, it used to be 50% plus 5%, 10%.

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Is there unfair criticism that India is being protectionist?

SKA: I would say that we have analysed the 30 top imports from the US, which are mainly items like crude oil, natural diamonds, etc. The rates for these are very low, either zero or up to 10%. In no case is it above 10%.

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What is the philosophy behind the new income tax Bill and what can we expect in it?

RA: The basic philosophy was that we make it simple, easy to read, easy to comprehend for the normal taxpayer. Therefore, the language would be simple, the scope for litigation would also go down. That would promote ease of doing business, reduce litigation, bring more clarity and better compliance. We have been able to reduce the Act by around about 50% and cut the redundancies that had crept in over time.

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On the principle of trust first and scrutinise later, there is criticism that sometimes the assessing officers play hardball. Will this change?

RA: Let us see it in the context of how many taxpayers we have, and ultimately the number of returns, the number of cases that we are actually accepting as it is, without questions. We have about 87.5 million taxpayers, and in 99.5% of the cases, we are accepting the returns. So, a very small number is left. And even in that small number, it is not a case of random questioning. There is data analytics which throws up some red flags and a call is taken based on that to issue notices. **BT**

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about 74% of taxpayers have already opted for the new tax regime. I am sure that with this change in tax rates more people would be prompted to shift to the new regime.

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What level of adoption do you expect after the change?

RA: We have about 85

this exercise with four objectives. First, provide adequate protection in certain sectors, then simplify the rate structure. Third, industry should remain competitive. And, four, ensure ease of doing business. Seven rates have been eliminated, which were very high up to 150% on industrial goods. We kept agricultural goods

